

ITSA 5003 – Group Project Cover Page

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Lab Number:	1
Lab Title:	Target Canada

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The following students were present for the group discussion and contributed to the assignment per the RACI chart:

Student Name	Student Number
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Phase 1 – Strategic Alignment Canvas

Quadrant	Context	Alignment Gaps	Recommendations
Business Strategy	\$7B expansion into Canada; rapid rollout of 100+ stores in 24 months	1. Unrealistic timeline for ERP readiness 2. No phased rollout or market testing	• Adjust timeline to allow ERP readiness before store openings • Implement phased rollout with pilot stores
IT Strategy	Full SAP ERP deployment as backbone for operations	1. IT treated as support, not strategic partner 2. No contingency plan for integration delays	• Elevate IT to strategic planning role with veto authority • Develop contingency plans for ERP delays
Organizational Infrastructure	Canadian team lacked ERP experience; fragmented governance	1. No IT Steering Committee 2. KPI literacy missing at executive level	• Form IT Steering Committee for governance • Train executives on ERP readiness KPIs
IT Infrastructure	SAP ERP implemented without proper data validation	1. Corrupted product master data 2. No integration testing or rollback options	• Establish strict data validation processes • Introduce stage-gate testing and rollback mechanisms

Annotated Observations

- Aggressive expansion goals ignored IT readiness, creating systemic misalignment.
- Governance gaps (no steering committee, no KPI-based checkpoints) led to blind decision-making.
- IT undervalued as a strategic partner, reducing its ability to prevent failure.
- Data integrity issues and lack of rollback options amplified operational chaos.

Phase 2 – KPI Dashboard Design

1 Financial Perspective KPIs

KPI 1: Inventory Write-Off Rate

- **Description:** Percentage of inventory written off due to errors or obsolescence
- **Owner:** CFO / CIO
- **Review Frequency:** Weekly
- **Thresholds:**
 -  Green: < 2%
 -  Yellow: 2–5%
 -  Red: > 5%
- **Escalation Rule:**
 -  triggers Steering Committee review and freeze on new store openings

KPI 2: IT Cost Variance

- **Description:** Difference between planned vs actual IT spending
- **Owner:** PMO Director
- **Review Frequency:** Monthly
- **Thresholds:**
 -  < 5%
 -  5–10%
 -  > 10%
- **Escalation Rule:**
 -  triggers vendor audit and CIO approval for further spending

2 Customer Perspective KPIs

KPI 3: Shelf Availability Rate

- **Description:** Percentage of products available on shelves as planned
- **Owner:** VP Retail Operations

- **Review Frequency:** Weekly
- **Thresholds:**
 -  > 95%
 -  85–95%
 -  < 85%
- **Escalation Rule:**
 -  triggers halt of marketing promotions and inventory root-cause analysis

KPI 4: Customer Satisfaction Score

- **Description:** Average post-purchase customer satisfaction rating
- **Owner:** Customer Experience Director
- **Review Frequency:** Monthly
- **Thresholds:**
 -  > 80%
 -  65–80%
 -  < 65%
- **Escalation Rule:**
 -  triggers executive review and public communication mitigation plan

Internal Process Perspective KPIs

KPI 5: Inventory Accuracy Rate

- **Description:** Match rate between system inventory and physical inventory
- **Owner:** Supply Chain Director
- **Review Frequency:** Weekly
- **Thresholds:**
 -  > 98%
 -  90–98%
 -  < 90%
- **Escalation Rule:**
 -  triggers SAP data validation, manual overrides, and go/no-go gate for expansion

KPI 6: Order Fulfillment Accuracy

- **Description:** Percentage of orders delivered correctly to stores
- **Owner:** Distribution Center Manager
- **Review Frequency:** Weekly
- **Thresholds:**
 -  > 97%
 -  90–97%
 -  < 90%
- **Escalation Rule:**
 -  triggers logistics workflow review and system rollback consideration

Learning & Growth Perspective KPIs

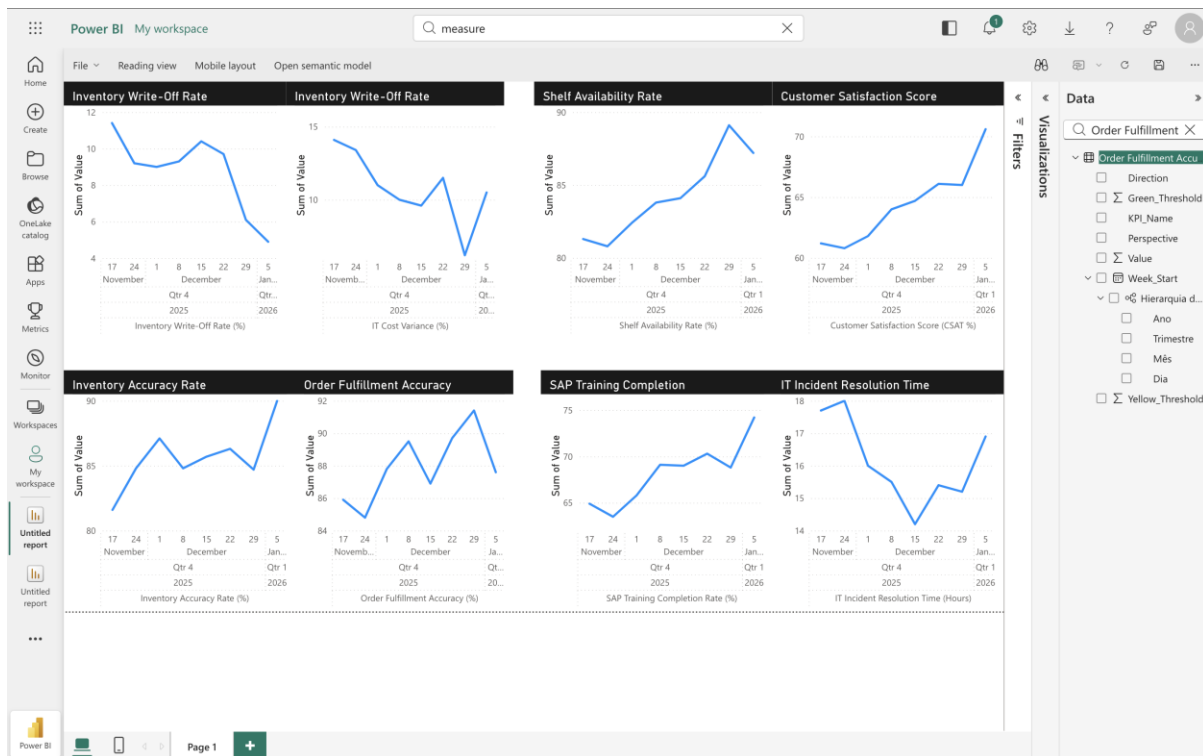
KPI 7: SAP Training Completion Rate

- **Description:** Percentage of staff trained on SAP modules
- **Owner:** HR Director / CIO
- **Review Frequency:** Monthly
- **Thresholds:**
 -  > 90%
 -  70–90%
 -  < 70%
- **Escalation Rule:**
 -  triggers delay of system features and mandatory training sessions

KPI 8: IT Incident Resolution Time

- **Description:** Average time to resolve critical IT incidents
- **Owner:** IT Operations Manager
- **Review Frequency:** Weekly
- **Thresholds:**
 -  < 4 hrs

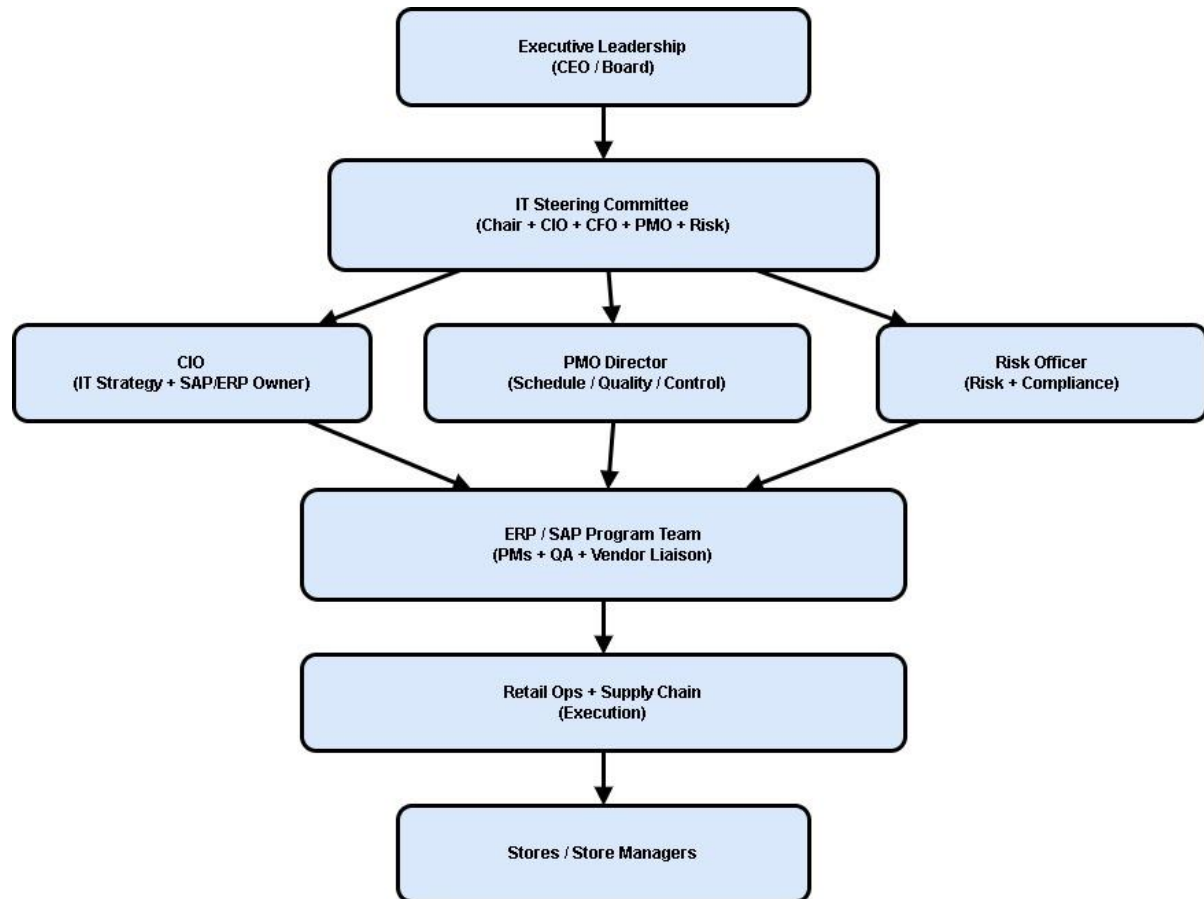
- ● 4–12 hrs
- ● > 12 hrs
- **Escalation Rule:**
 - triggers CIO intervention and vendor SLA enforcement



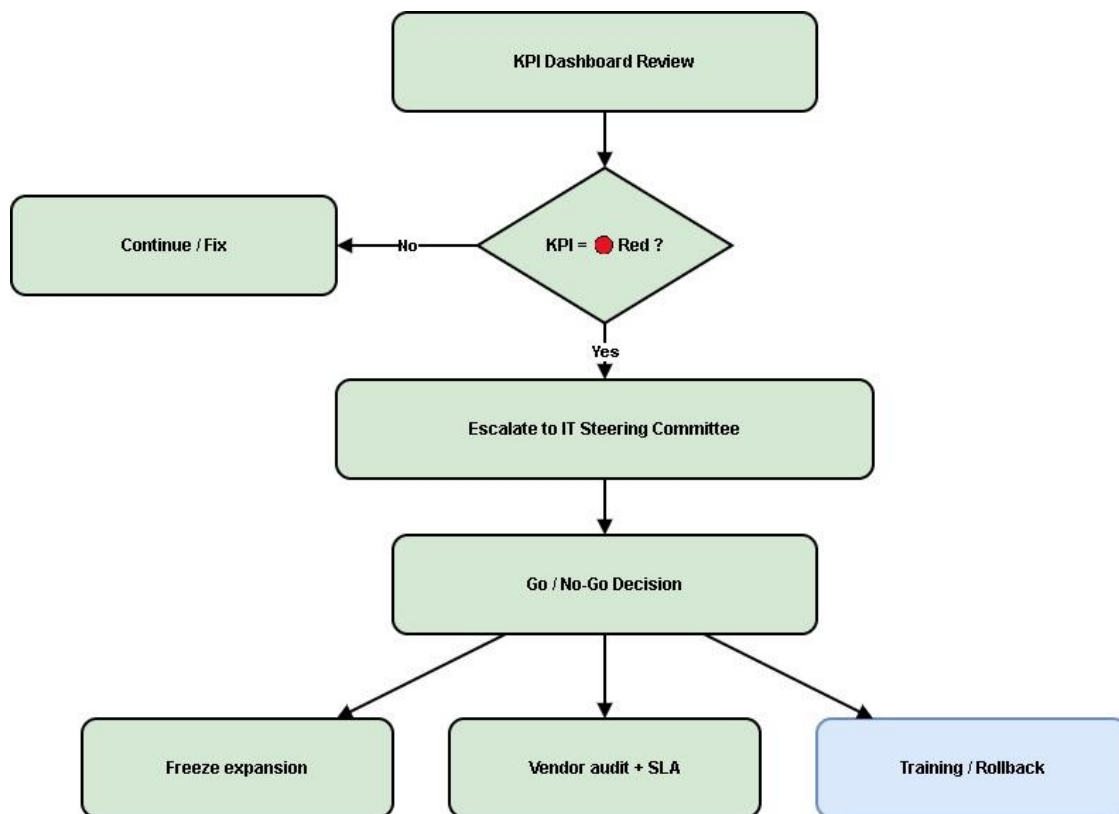
Phase 3 : IT Governance Simulation Log (Target Canada)

Governance Body

IT Steering Committee (Chair + CIO + CFO + PMO Director + Risk Officer + Supply Chain Director + VP Retail Ops)



Rule Used: If any KPI turns ● Red → **mandatory escalation + Go/No-Go Gate** (pause expansion)



Decision Log

1) Shelf stockouts / missing items

- Trigger: Shelf Availability **78%** ●, Inventory Accuracy **86%** ●
- Decision: **Pause promotions + freeze store openings**
- Action: Data cleansing + manual inventory verification
- Approved: Steering Committee Chair + CIO

2.Delays

- Trigger: Incident Resolution **18 hrs** ●, IT Cost Variance **13%** ●
- Decision: **Stop new integrations + enforce vendor SLA**
- Action: Weekly defect dashboard + vendor audit
- Approved: CIO + PMO Director

3.High inventory loss

- Trigger: Write-Off Rate **6.2%** ●
- Decision: **Freeze procurement automation + expansion**
- Action: 3-layer inventory controls (SAP rules + cycle counts + approvals)
- Approved: CFO + Steering Committee

4) Low SAP training

- Trigger: Training Completion **70%** ●
- Decision: **Mandatory training sprint + restrict SAP access**
- Action: “Store readiness certification” before new openings
- Approved: CIO + HR Director

5) Customer complaints rising

- Trigger: Customer Satisfaction **65** ●
- Decision: **Pause promotions + customer recovery plan**
- Approved: Customer Experience Director + Steering Committee Chair